

Budget Alert Feature Overview

1. Feature Name

Budget Alert Notification

2. Feature Objective

Help users avoid overspending by providing timely spending alerts when predefined monthly budget thresholds are reached.

3. Business Problem

Many users exceed their monthly budgets because they lack real-time visibility into spending behavior and do not receive timely warnings before overspending occurs.

This results in:

- poor financial discipline
- reduced trust in personal finance tools
- low engagement with digital banking applications

4. Proposed Solution

Implement an automated Budget Alert feature that continuously monitors user spending against monthly budgets and sends alert notifications when spending reaches configured thresholds.

The feature will:

- track monthly spending
- compare actual spending versus defined budget
- trigger alerts at threshold levels
- store alert history for future review

5. Scope

In Scope

- monthly budget creation
- budget threshold monitoring
- in-app alert notifications
- alert history display
- category-level spending monitoring

Out of Scope

- SMS notifications
- email notifications
- AI-based budget recommendations
- investment portfolio tracking
- loan management

6. Target Users

- mobile banking users
- young professionals
- university students
- personal finance app users

7. Success Metrics

The success of this feature will be measured by:

- improve user spending visibility
- reduce overspending behavior
- increase budget tracking adoption
- improve user financial awareness

8. Key Assumptions

- users manually define monthly budgets
- default alert threshold is 80%
- alerts are delivered through in-app notifications only
- each transaction belongs to exactly one category

